

Calderwood Partners LLC

www.calderwoodpartners.com

May 8, 2008

Linda Gallegos
Chief Financial Officer
Hughes Group

Re: Operating Model Redesign for Hughes Group

Dear Ms. Gallegos:

This letter records the terms on which we will redesign the operating model of Hughes Group. It follows our meetings this spring and the materials your office sent afterward. It sets out what we will do, how we will staff it, what we will need from you, and the commercial terms that govern the work. Once you have countersigned and returned it, this letter is the agreement between us and it supersedes anything said before it.

Scope of the Engagement

The engagement addresses how the company is organized to run: its reporting structure, the way decisions are made and by whom, the accountabilities that sit with each layer, and the cost that structure carries. We will produce three things. The first is a diagnostic of the current operating model, built from your organization charts, your management accounts, and interviews with the leaders who run the business day to day. The second is a target operating model: a structure, a set of decision rights, and the governance to support them, designed for where you are taking the company, not for where it has been. The third is an implementation roadmap that sequences the change and identifies where the return is largest.

Certain matters sit outside this engagement and are available separately if you want them. We will recommend changes to roles and headcount; we will not carry them out, and the decisions on people remain yours. Systems selection and implementation, tax structuring, and legal reorganization are not within our scope. Where our work touches a question we are not engaged to answer, we will say so and stop, instead of guessing at it.

How We Will Work

We begin with your own figures and your own charts, not with a template carried in from another company. In the first weeks we will map the current structure, interview the leadership team, and build a cost baseline that ties to your management accounts, so that every number we later put in front of you can be traced back to one you already recognize. From that base we design the target model and test it against the demands the

business will place on it. We bring a point of view and we will state it plainly; we do not hand you a menu of options and ask you to do the designing.

The Team

Jason Torres, Principal, leads the engagement and is your day-to-day contact. He is responsible for the design work and for what we present to you. Brenda Rodriguez, Senior Consultant, leads the cost and organization analysis and will run the data exchange with your finance staff; she is the person to reach on the management accounts and the reconciliations. I review the analysis and the recommendation before either reaches you, as I do with everything that leaves this office. We do not change the people on your engagement without telling you first.

Fees and Commencement

Our fee and the basis on which it is calculated are set out on the signature page, which our respective counsel have executed separately, and they are not restated here. We invoice monthly for the work performed in the preceding month, payable within thirty days of the invoice date. Work outside the scope described above is not undertaken on assumption; if you ask for something this letter does not cover, we will quote it and wait for your written authorization before we begin. Work commences on May 18, 2008, subject to your countersignature and to our receiving the current organization charts, the last two years of management accounts, and access to the leaders we will need to interview.

Term and Termination

This agreement takes effect on the date of your signature below and continues until the roadmap has been delivered and our final invoice paid. Either party may end it on thirty days' written notice to the other. On termination you will pay us for the work performed and the expenses incurred through the effective date, and we will deliver our work product in the state it then stands, with a written note of what remains unfinished. An unfinished diagnostic is not a recommendation and should not be relied on as one.

Confidentiality

We will hold the information you give us in confidence and use it only for this engagement. Access is limited to the team named above and to those in our office whose work requires it. We will not disclose your information to anyone outside the firm without your written consent, except where a court or a regulator with jurisdiction compels it, and in that event we will tell you first if we are free to. Our work product is prepared for your management and is not to be used on another matter without our written consent. This obligation survives the end of the engagement.

Limitation of Liability

Our liability to you arising out of this engagement, whether framed in contract or in tort, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. Neither of us will be

liable to the other for indirect or consequential loss, including lost profits, whether or not the possibility was known. Our analysis rests on the accuracy of the information you furnish; where that information proves materially wrong, the consequences of the error are not ours to carry, though we will tell you promptly when we see reason to doubt what we have been given.

Governing Law

This agreement is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws rules. Before either of us commences proceedings, we will attempt to resolve any dispute by discussion between senior representatives of the two parties. This letter and its signature page are the entire agreement between us on their subject, and either may be amended only in writing signed by both of us.

If these terms reflect your understanding, please sign both copies where indicated, keep one for your file, and return the other to this office. If any part of them does not, telephone me and we will settle it before you sign. We are glad to be doing this work with Hughes Group, and we will be ready to start the interviews as soon as the letter is back.

Very truly yours,

Fixed professional fee, as executed: \$40,500

Julie Ramsey

Managing Principal

Date: May 8, 2008

Linda Gallegos

Chief Financial Officer, Hughes Group

Date: May 8, 2008